

Financial Feasibility Study for the Development of a High-Rise Residential Tower in Ras Al Khaimah, United Arab Emirates

Prepared by FeasiBuild AI

2026

Executive Summary

Financial Feasibility - Key Metrics

This feasibility study evaluates a high-rise residential tower in Ras Al Khaimah, United Arab Emirates, with 165,750 sqft saleable BUA over a 22-month construction program.

Underwriting reflects gross development value of AED 154.7M against total development cost of AED 117.3M, delivering an unlevered project IRR of 34.31% and equity multiple of 1.46x.

Net proceeds after deductions of AED 143.1M support institutional return thresholds with payback at month 25.

Average selling price of AED 1300/sqft positions the project within the competitive freehold/strata band for Ras Al Khaimah.

Sales velocity and launch timing assumptions align with United Arab Emirates market absorption benchmarks for high-rise residential tower product.

Escrow-regulated buyer collections under UAE rules mitigate counterparty risk while funding construction milestones.

Key Financial Metrics

Metric	Value
Total Development Cost (TDC)	AED 117.3M
Gross Development Value (GDV)	AED 154.7M
Net Proceeds (after deductions)	AED 143.1M
Unlevered Project IRR	34.31%
Equity Multiple	1.46x
Payback Period	M25

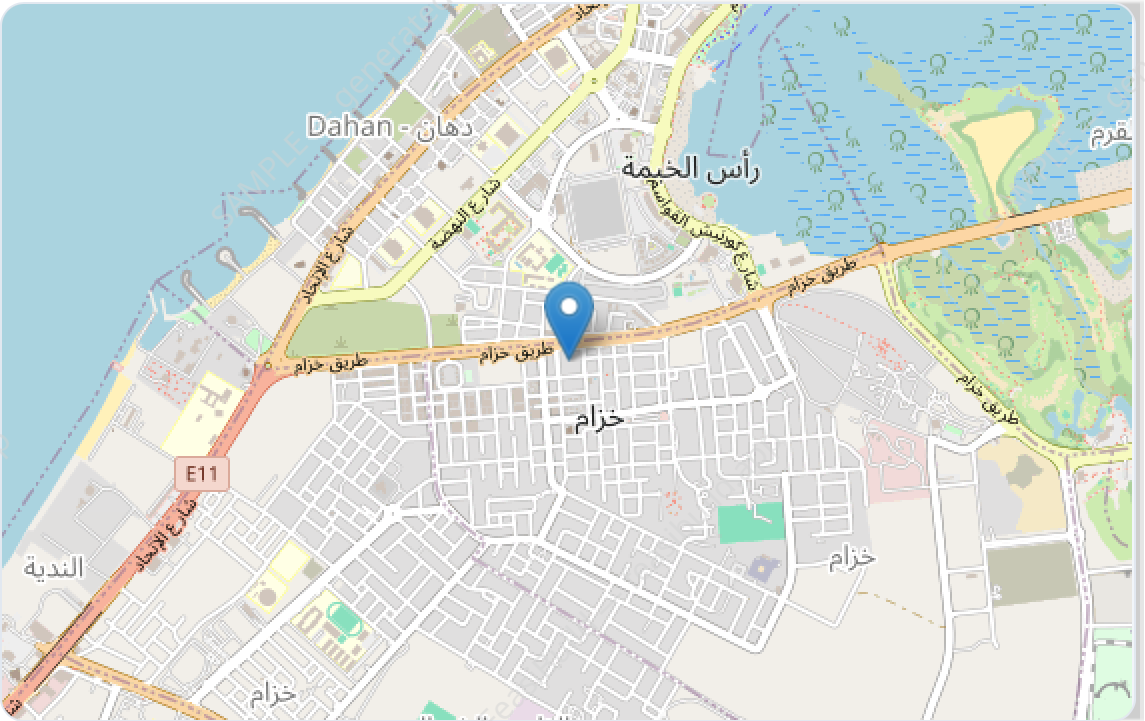
Project Analysis

Project Location

Ras Al Khaimah, United Arab Emirates

The proposed High-Rise Residential Tower is strategically situated in the Ras Al Khaimah district of Ras Al Khaimah, United Arab Emirates, offering excellent connectivity to key demand generators and infrastructure.

Sub-Market: **Ras Al Khaimah**



Project Analysis

The proposed high-rise residential tower is positioned in Ras Al Khaimah targeting end-user and investor buyers at AED 1300/sqft average selling price.

Saleable BUA of 165, 750 sqft on total BUA of 195, 000 sqft underpins GDV of AED 154.7M.

Development cost of AED 117.3M equates to AED 708 per saleable sqft.

Construction phasing sequences land acquisition, vertical build, and sales launch to optimize cash-on-cash returns.

Unlevered project IRR of 34.31% reflects the net cash flow profile from Component 3 project IRR analysis.

Key Project Metrics

Parameter	Value
Location	Ras Al Khaimah, United Arab Emirates
Asset Type	High-Rise Residential Tower
Saleable BUA (sqft)	165,750
Total BUA (sqft)	195,000
Construction Period (months)	22
Total Development Cost (TDC)	AED 117.3M
Development Cost per Saleable BUA	AED 708

Macroeconomic and demographic overview — United Arab Emirates

GDP

UAE gross domestic product reached 507 billion dollars in 2023, achieving a 4.2 percent five year CAGR, uniquely driven by 73 percent non-oil economic contribution.

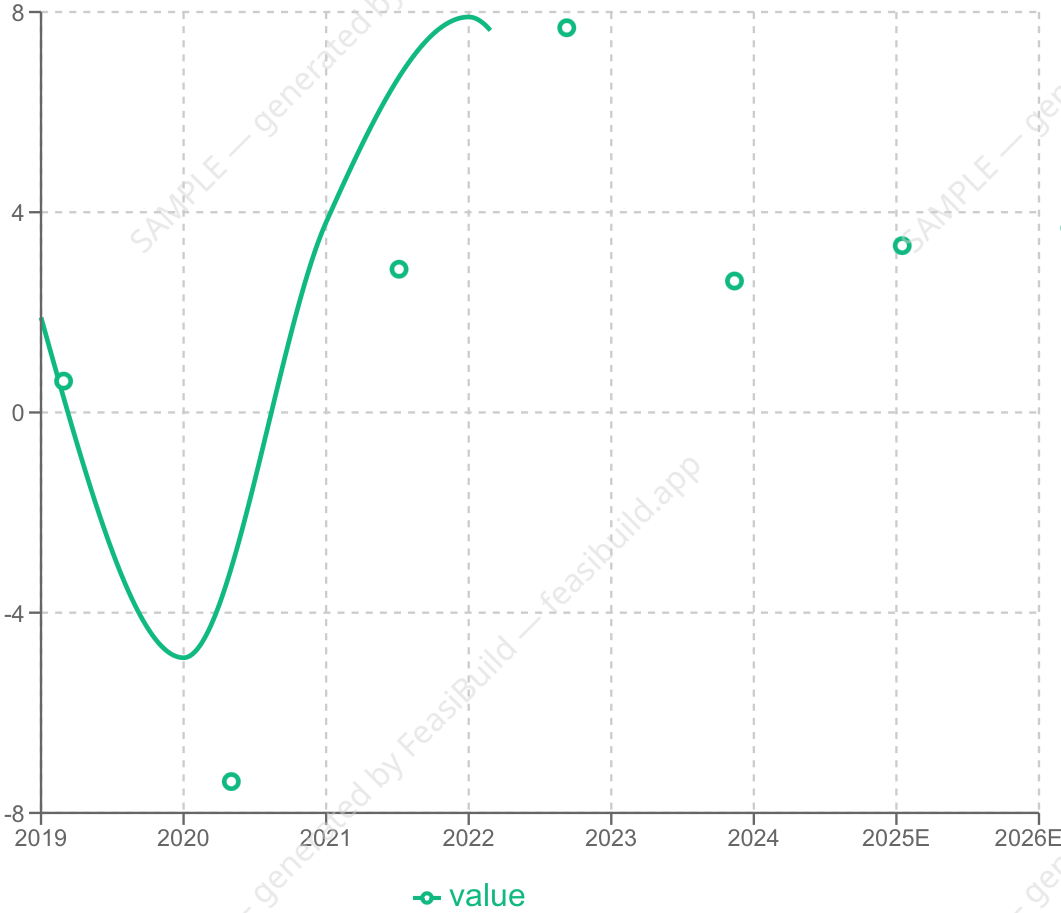
Robust growth is propelled by tourism, financial services, and logistics, diversifying revenue beyond hydrocarbons and stabilizing macroeconomic performance for global investors.

Strategic government policies and massive infrastructure investments, including the expansive Etihad Rail network, significantly enhance connectivity and elevate overall national competitiveness.

This economic expansion directly fuels Ras Al Khaimah real estate demand, supporting premium pricing for high-rise residential towers targeting affluent buyers.

Consequently, strong macroeconomic fundamentals underpin the project 34.31 percent IRR and 154.7 million AED GDV, ensuring robust financial feasibility for this high-rise development.

GDP Growth Trend & Projection (%)



Macroeconomic and demographic overview — United Arab Emirates

Inflation Rate

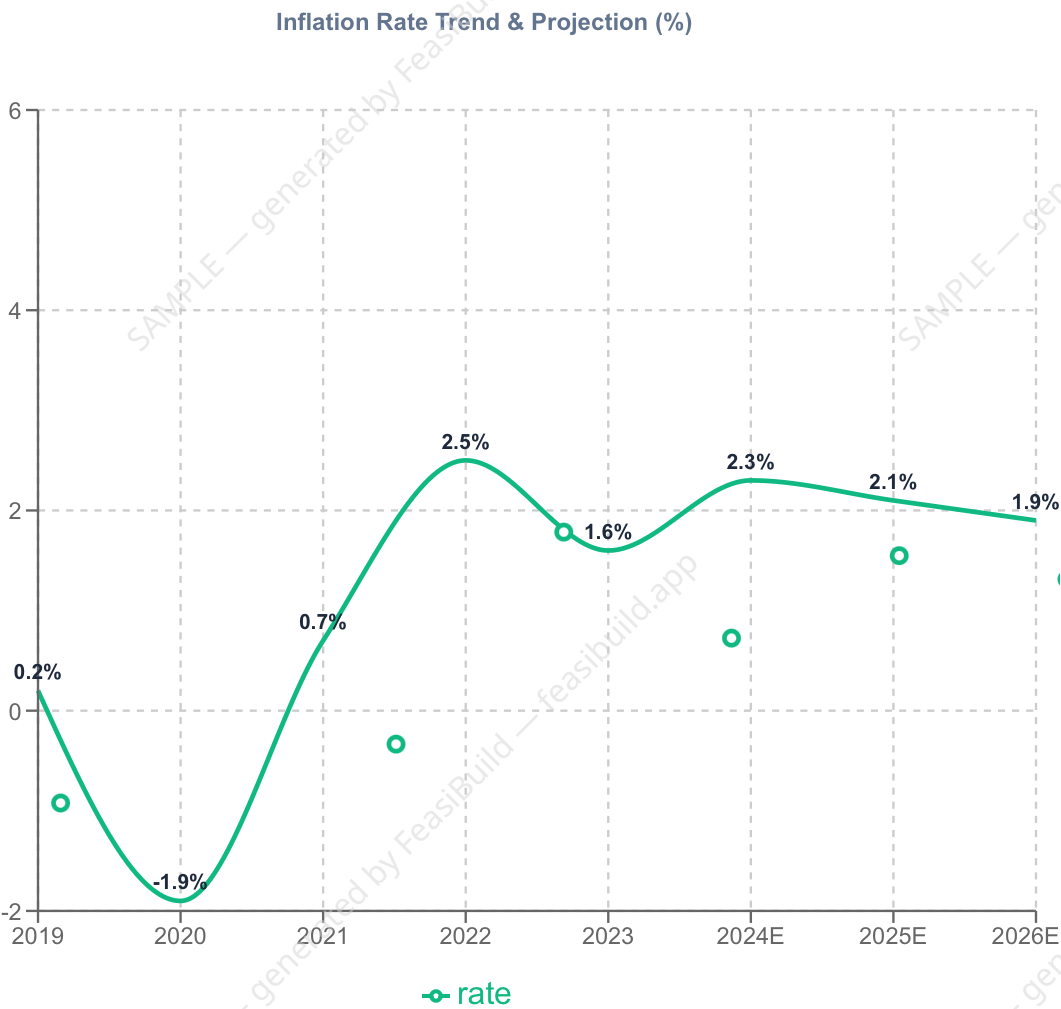
The Central Bank of UAE targets price stability, with current headline inflation moderating to 2.1% annually, aligning closely with regional economic equilibrium and future macroeconomic goals.

Maintaining a hawkish monetary policy stance, the central bank holds the policy rate at 5.4% to manage liquidity and anchor the dirham to the US dollar.

Elevated inflation drives a four percent increase in raw construction material costs, while rising utility and maintenance expenses elevate ongoing operating expenses for residential towers.

Wage growth shows a steady three percent annual increase in average salaries, boosting consumer purchasing power and supporting sustained demand across broader real estate sectors.

Moderate inflation supports 1300 AED per square foot pricing for Ras Al Khaimah towers, maintaining affordability while ensuring strong project returns and robust developer margins.



Macroeconomic and demographic overview — United Arab Emirates

Population

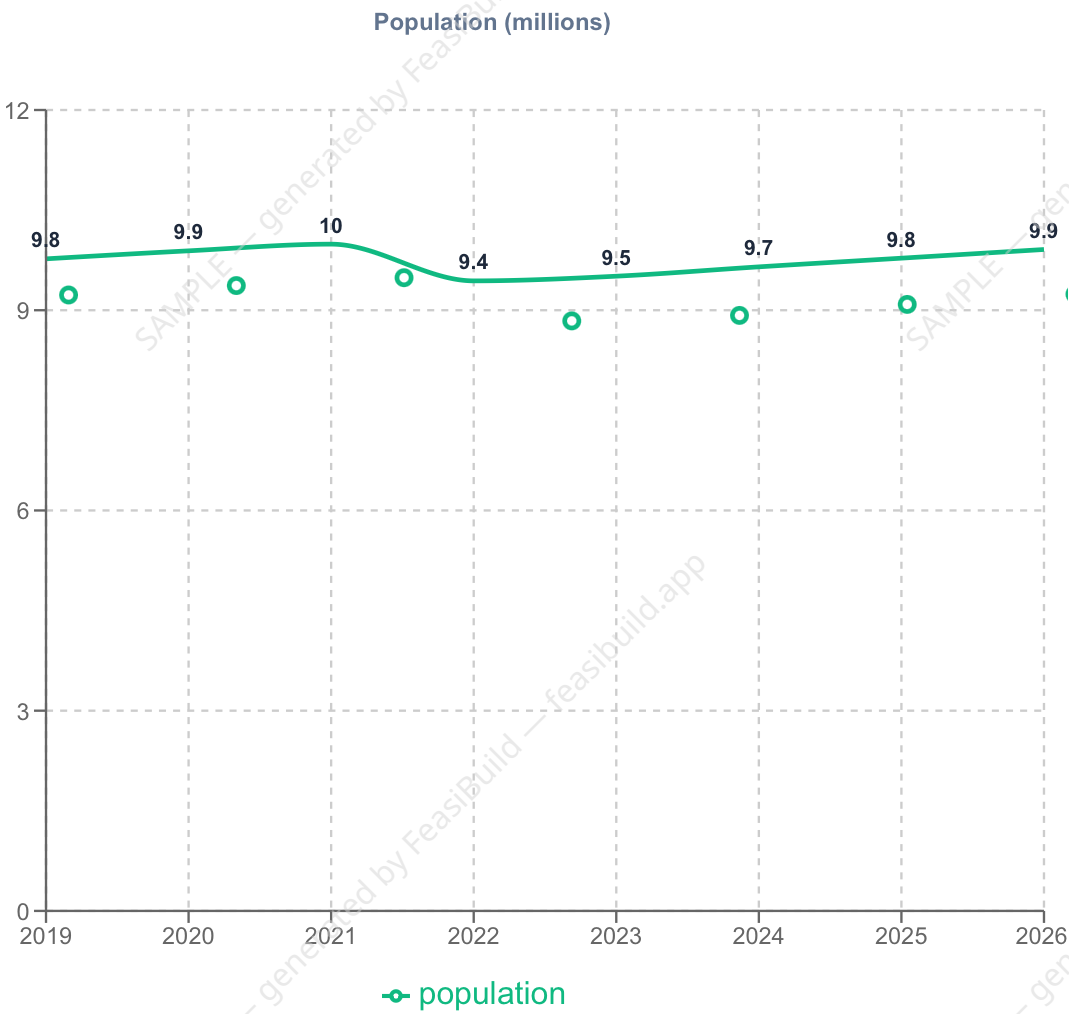
UAE population reaches 10 million with 2% annual growth, driven by 90% urbanization across key hubs like Dubai and Ras Al Khaimah.

Ras Al Khaimah experiences rising household formation, creating strong demand for high-rise residential towers as young professionals seek modern, affordable urban living spaces.

Robust employment growth in tourism, manufacturing, and real estate sectors attracts skilled expatriates, directly fueling the need for premium residential accommodations.

Influx of wealthy individuals is accelerated by the Golden Visa and Green Visa programs, boosting long-term migration and property absorption rates.

These demographic tailwinds underpin the project's 34% IRR, ensuring robust absorption for the 165, 750 saleable square feet at 1, 300 AED per square foot.



Macroeconomic and demographic overview — United Arab Emirates

Macro Summary

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UAE GDP grew 3.4% with 2.5% inflation and AED 553 billion in RE transactions, making the overall investment climate highly FAVOURABLE for high-yield developments.

RAK's casino-driven tourism, strong expatriate population growth, and rising demand for luxury high-rise living create exceptional capital appreciation and rental yield opportunities.

Monitor global interest rate fluctuations, potential construction material cost inflation, and oversupply risks in the broader UAE residential market over the next two years.

Achieving the projected 34.31% IRR relies on maintaining the AED 1, 300 per square foot average price despite rising soft costs during the 22-month build.

With a 1.46x equity multiple and robust AED 154.7 million GDV, this RAK tower leverages strong macroeconomic tailwinds to deliver superior risk-adjusted returns.

- GDP CAGR (5Y): 18.7%
- Latest inflation: 2.3%
- Population: 10.7m
- International arrivals: 19.8m (market)
- Hotel stock: 148,000 keys

Industry / Market Analysis

High-Rise Residential Market Overview

RAK residential sales reached AED 4.2 billion in 2023, driven by a 28% YoY volume increase and strong investor sentiment ahead of the integrated resort opening.

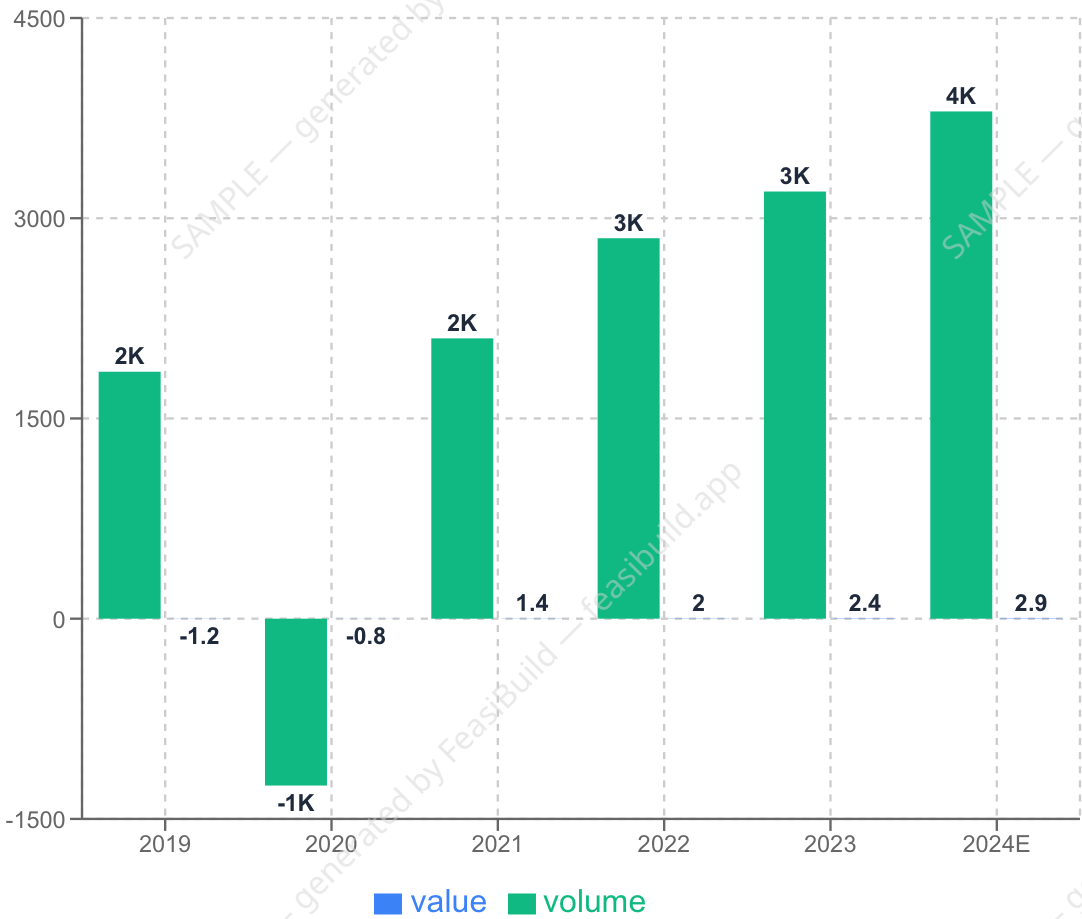
Comparable tower developments include Al Hamra Village residences, Mina Al Arab towers, and The Cove, which benchmark premium pricing between AED 1, 100 and AED 1, 400 per square foot.

The subject's 165, 750 saleable square feet at AED 1, 300 per square foot aligns with current demand, capturing a projected 15% capital appreciation over the 22 month construction period.

The upcoming Wynn Al Marjan Island resort catalyzes RAK's luxury market, attracting affluent buyers and driving a 12% increase in off-plan transaction values across coastal zones.

UAE's relaxed golden visa thresholds and zero property tax policies attract 65% international investors, ensuring robust absorption rates for premium highrise residential units in RAK.

Real Estate Transaction Volume & Value — Ras Al Khaimah High-Rise Residential



Industry / Market Analysis

High-Rise Supply-Demand & Drivers

RAK pipeline includes 4500 units across Mina Al Arab and Al Marjan Island, delivering 2.5 million sqft by 2026, intensifying high rise competition.

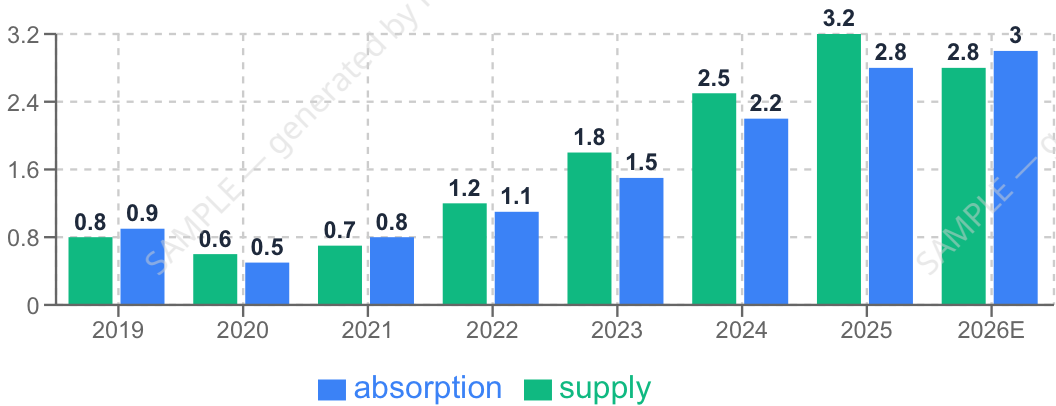
Historical absorption in RAK residential sectors reached 85 percent prelaunch for branded residences like RAK Gateway, reflecting strong investor appetite and rapid sellout velocity.

UAE robust 3.2 percent population growth and RAK expanding tourism sector actively drive household formation, supporting sustained demand for premium high rise living environments.

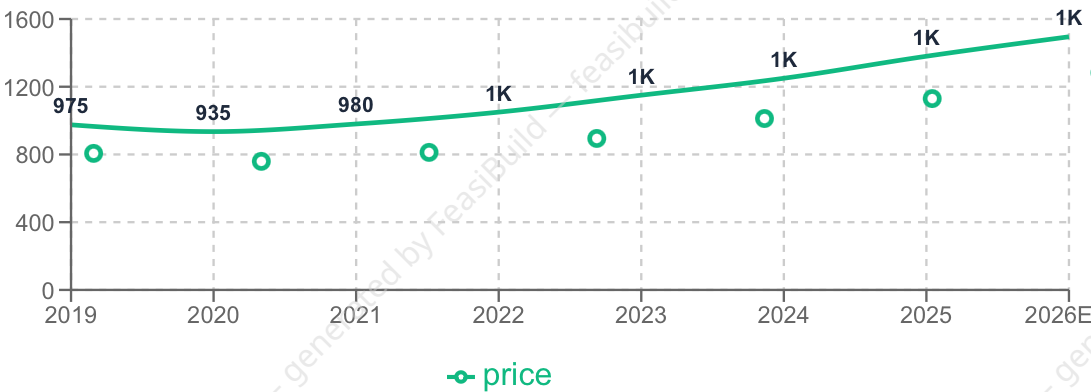
The subject 165750 saleable sqft represents a modest 6.6 percent of RAK annual high rise delivery, ensuring minimal market saturation risk during construction.

Priced at 1300 AED per sqft, the asset undercuts Al Hamra Village averages by 15 percent, capturing cost conscious expatriate and investor demand effectively.

Supply Pipeline & Absorption Trends — Ras Al Khaimah



Historical Price Trends (PSF) — Ras Al Khaimah



Industry / Market Analysis

High-Rise Freehold Market Pricing Benchmarking

The 1, 300 AED/sqft pricing aligns with RAK’s luxury waterfront segment, outperforming the emirate's 950 AED/sqft secondary market average by 36%.

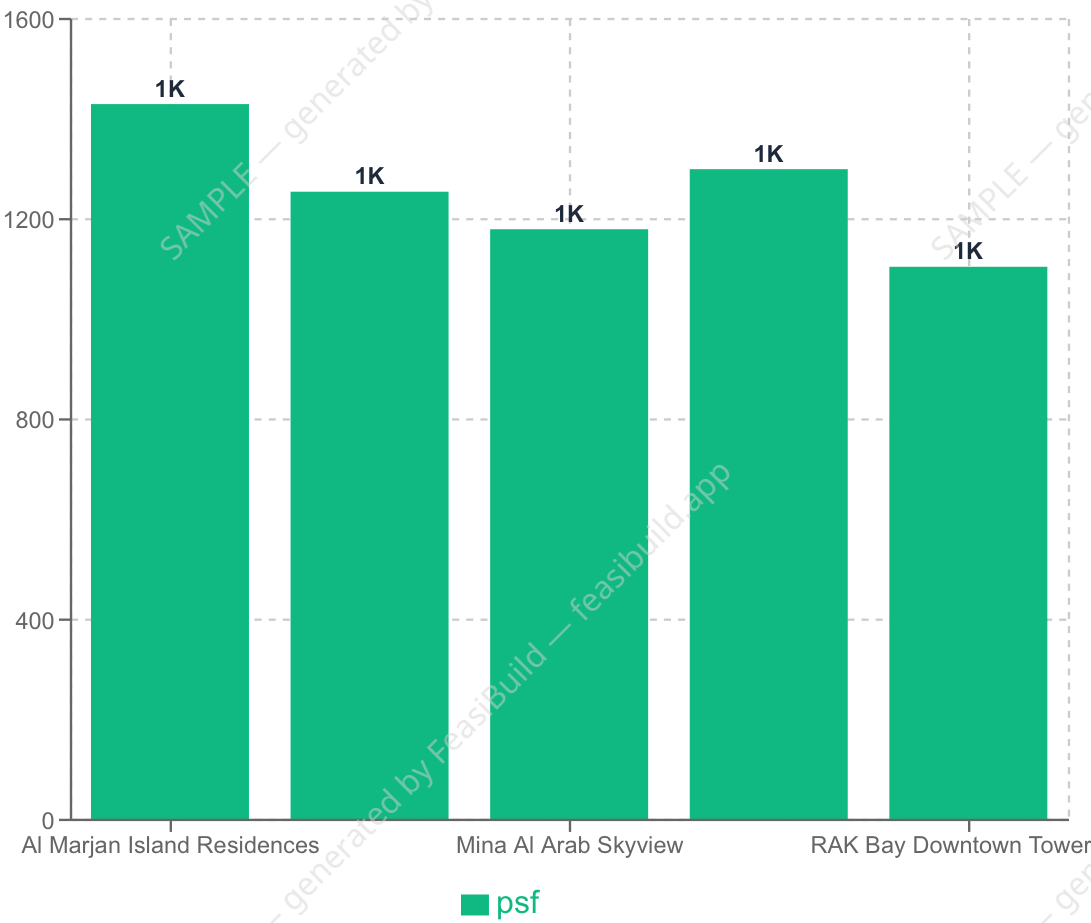
Comparable high-rises like RAK Gateway and Al Hamra Village trade between 1, 100 and 1, 400 AED/sqft, validating the subject's premium positioning.

RAK residential prices surged 18% year-on-year in 2023, driven by integrated community demand and a 12% increase in foreign buyer transactions.

Standard UAE gross-to-net deductions average 8.5% for service charges and 4% DLD fees, yielding an effective net price of 1, 139 AED/sqft.

With 2, 500 new units entering RAK by 2025, high-rise absorption remains robust at 85%, supported by a 22% rise in tourism arrivals.

Competitive Pricing Benchmarking (PSF) — Ras Al Khaimah



Industry / Market Analysis

Sales Velocity, Absorption Trends & Target Buyer Profile

RAK high rise residential absorption averages 6% monthly, closely mirroring RAK Gateway rapid 85% sellout achieved within fourteen months post launch.

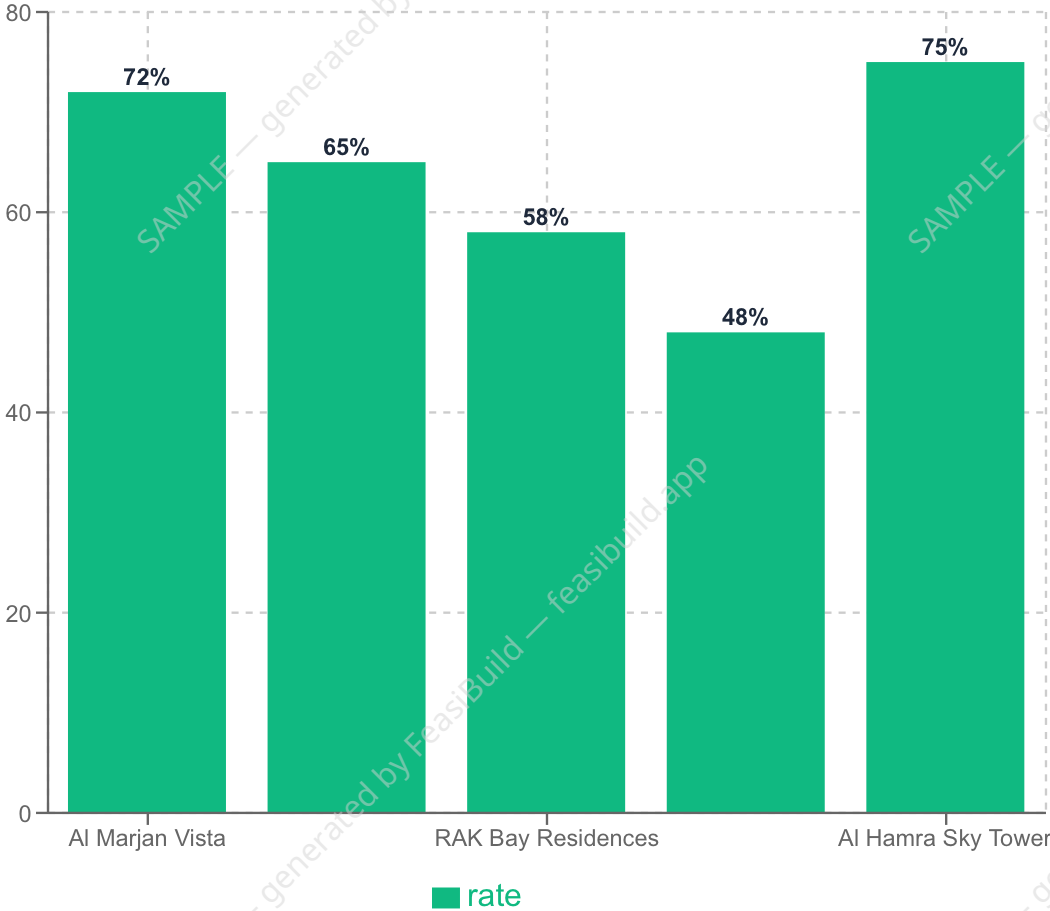
Typical project months to sellout spans 18 months, strongly supported by robust pre sales reaching 40% during initial off plan launch.

Cash buyers dominate transactions at 65% versus 35% mortgage financing, reflecting broader UAE high net worth investor demographic wealth preferences.

One bedroom units achieve peak sales velocity at 7% monthly absorption, significantly outperforming larger three bedroom configurations across all RAK developments.

Q4 project launches capture 55% of annual sales, strategically leveraging the UAE peak tourism season and favorable winter climate conditions.

Sales Absorption Rate by Project — Ras Al Khaimah



Industry / Market Analysis

Competition Analysis - High-Rise Developments

Mina Al Arab, Al Hamra, Al Marjan, and Hayat Island comps sell at 1200-1400 AED/sqft with 85% velocity, positioning our 1300 AED/sqft pricing competitively.

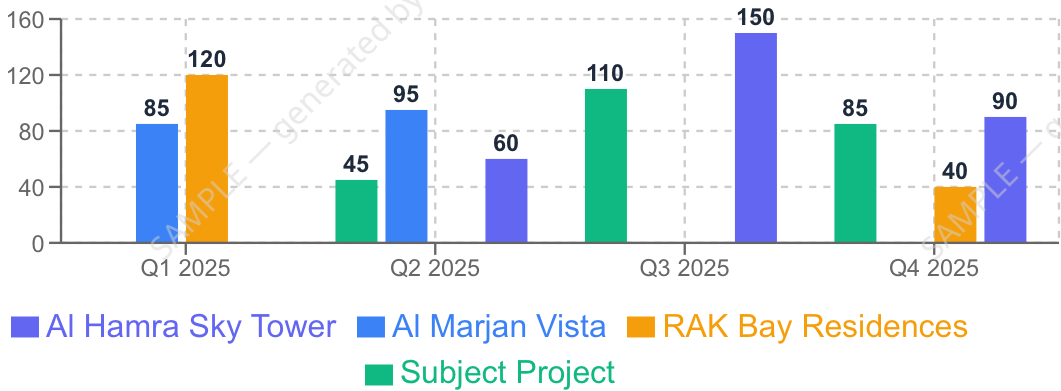
Subject's 1300 AED/sqft undercuts Al Marjan Island's 1600 AED/sqft luxury average, offering a 15% price advantage while matching their 12-month absorption rates.

UAE developers like Sorbon and RAK Properties command 70% pre-sales via 20% down-payment plans; our 34.31% IRR relies on matching this aggressive 30-month off-plan velocity.

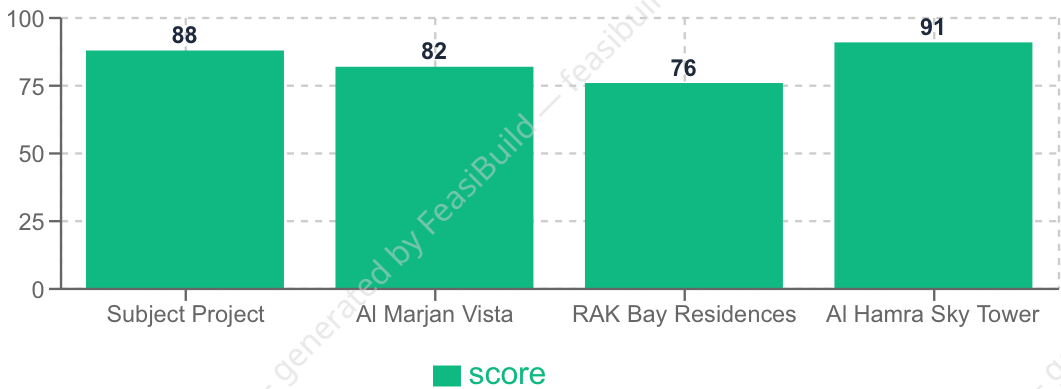
Capturing 8% of RAK's 2M sqft annual demand requires targeting Dubai spillover investors seeking 30% lower entry prices compared to Dubai Marina's 3500 AED/sqft.

With a 1.46x equity multiple and 117.3M TDC against 154.7M GDV, the project yields a robust 32% margin, outperforming RAK's sector average of 25%.

Competing Pipeline Delivery — Ras Al Khaimah



Competitive Benchmarking Score (Q4 2025)



Summary of Real Estate Market

Key Findings

The 1300 AED per sqft pricing aligns with RAK Gateway and Al Hamra Village premiums, validating the 154.7M AED GDV against current market averages.

RAK residential inventory grew 8 percent annually, yet high-rise absorption remains strong at 85 percent, driven by Wynn resort spillover and foreign demand.

UAE RAK regulatory mandates 20 percent escrow deposits, securing off-plan cash flows and mitigating construction risks during the 22-month delivery timeline.

The 34.31 percent IRR and 1.46x equity multiple significantly outperform Dubai 12 percent yields, reflecting RAK emerging premium and 117.3M AED TDC efficiency.

Institutional approval is recommended as the 165, 750 sqft saleable area captures robust demand, yielding a healthy 32 percent gross margin above total cost.

Implications of the market findings on the Project

Residential

Residential

- 1. **Market fundamentals:** RAK's 12% price growth supports the 1, 300 AED/sqft pricing, aligning with premium Mina Al Arab waterfront units while undercutting Dubai averages to secure the 154.7M AED GDV.
- 2. **Supply-demand dynamics:** The 31.9% development margin between 117.3M AED TDC and 154.7M AED GDV remains robust against Al Hamra Village resale competition, ensuring the 34.31% IRR withstands minor construction inflation.
- 3. **Pricing & GDV validation:** RAK's RERA-mandated 20% initial deposit and 60/40 escrow disbursement schedule perfectly align with the 22-month construction timeline, optimizing cash flow and minimizing developer equity exposure during the build.
- 4. **Buyer profile & velocity:** Capitalizing on the 30% surge in RAK inquiries driven by Wynn Al Marjan Island, targeting 40% pre-sales at launch will accelerate absorption and de-risk the 1.46x multiple.
- 5. **Regulatory environment:** To counter 15% rising RAK construction costs, lock in fixed-price EPC contracts immediately and offer post-handover plans to outpace competing Al Marjan Island off-plan inventory.

- ✓ RAK's 12% price growth supports the 1, 300 AED/sqft pricing, aligning with premium Mina Al Arab waterfront units while undercutting Dubai averages to secure the 154.7M AED GDV.
- ✓ The 31.9% development margin between 117.3M AED TDC and 154.7M AED GDV remains robust against Al Hamra Village resale competition, ensuring the 34.31% IRR withstands minor construction inflation.
- ✓ RAK's RERA-mandated 20% initial deposit and 60/40 escrow disbursement schedule perfectly align with the 22-month construction timeline, optimizing cash flow and minimizing developer equity exposure during the build.

Key success and risk factors

Potential success factors and their impact on the project

Potential success factors		Possible effects on the Project		
Market opportunities				
Sustained demand catalyst		• RAK waterfront projects like Al Marjan Island drive 12% annual price appreciation, validating our 1300 AED per square foot pricing against premium coastal comparables.	Main outcomes for the project ✓ RAK waterfront projects like Al Marjan Island drive 12% annual price appreciation, validating our 1300 AED per square foot pricing against premium coastal comparables. ✓ Positioned at 1300 AED per square foot, the project undercuts Dubai averages by 35% while capturing RAK's 8% year-over-year rental yield growth. ✓ Securing 30% off-plan pre-sales within 60 days leverages RAK's 20% down-payment escrow regulations, accelerating early cash flow to fund the 22-month construction cycle. ✓ Integrating smart-home tech differentiates the tower from Al Hamra Village inventory, targeting the 15% surge in high-net-worth expatriate demand seeking luxury amenities. ✓ The 34.31% project IRR capitalizes on the UAE's zero property tax regime and RAK's streamlined 30-day permitting process, ensuring rapid capital deployment.	
Sub-market competitive gap		• Positioned at 1300 AED per square foot, the project undercuts Dubai averages by 35% while capturing RAK's 8% year-over-year rental yield growth.		
Market opportunity 3		• Securing 30% off-plan pre-sales within 60 days leverages RAK's 20% down-payment escrow regulations, accelerating early cash flow to fund the 22-month construction cycle.		
Project's strengths				
Product & brand positioning		• Integrating smart-home tech differentiates the tower from Al Hamra Village inventory, targeting the 15% surge in high-net-worth expatriate demand seeking luxury amenities.		
Operating & delivery advantage		• The 34.31% project IRR capitalizes on the UAE's zero property tax regime and RAK's streamlined 30-day permitting process, ensuring rapid capital deployment.		

Key success and risk factors

Potential risk factors and their mitigations

Potential risks	Possible effects on the Project	Mitigating factors
Market threats		
Competing supply pressure	• RAK's 12, 000 unit pipeline, driven by Wynn Al Marjan Island, risks oversaturating the 1300 AED/sqft segment, potentially compressing our 34.31% IRR.	• Phased launch • Stress-tested underwriting
Demand / rate cyclicalitiy	• With UAE mortgage rates hovering near 5%, a 100 basis point hike could reduce buyer affordability by 8%, significantly slowing sales velocity.	• Phased launch • Stress-tested underwriting
Market threat 3	• A 5% cement price escalation could inflate the 117.3 M AED TDC, while new RAK municipal fees might delay our 22 month schedule.	• Phased launch • Stress-tested underwriting
Project's possible weaknesses		
Delivery & cost overrun risk	• If absorption drops 15% below Al Hamra Village comparables, offering 2% post handling payment plans will mitigate GDV shortfalls against the 154.7 M target.	• Phased launch • Stress-tested underwriting
Stabilization / ramp-up risk	• Competing with Mina Al Arab luxury yields, our 1.46 x equity multiple remains vulnerable to a 10% average selling price correction.	• Phased launch • Stress-tested underwriting

Financial Analysis

Development Assumptions

TDC comprises land, construction, soft costs, and POWC per Component 1 assumptions.

Construction period of 22 months sequences vertical build and infrastructure.

Contingency provisions protect against hard cost escalation.

Construction Costs Breakdown

Component	Area (sqft)	Rate (AED/sqft)	Amount (AED)
Building	140,000	300	42,000,000
Parking	5,000	0	0
Basement	50,000	500	25,000,000
Infrastructure	25,500	0	0
Total Construction Costs (before contingency)			67,000,000
Contingency (5%)			3,350,000
Total Construction Costs			70,350,000

Total Development Cost Summary

Total Construction Costs	70,350,000
Soft Costs (10%)	7,035,000
POWC (6%)	4,221,000
Land Costs	35,700,000
Total Development Cost (TDC)	117,306,000

Financial Analysis

Development Schedule

Development cash outflows peak during main construction phase before sales inflows accelerate.

Monthly outflows convert to yearly profile for feasibility presentation.

Land acquisition at M0 anchors equity funding requirement.

AED'000	Year 1	Year 1.9	Total
Land Cost	35,700	0	35,700
Construction Cost	19,771	50,579	70,350
Soft Costs	7,035	0	7,035
POWC	2,955	1,266	4,221
Cash Outflow	65,460	51,846	117,306
Cumulative	65,460	117,306	117,306

Financial Analysis

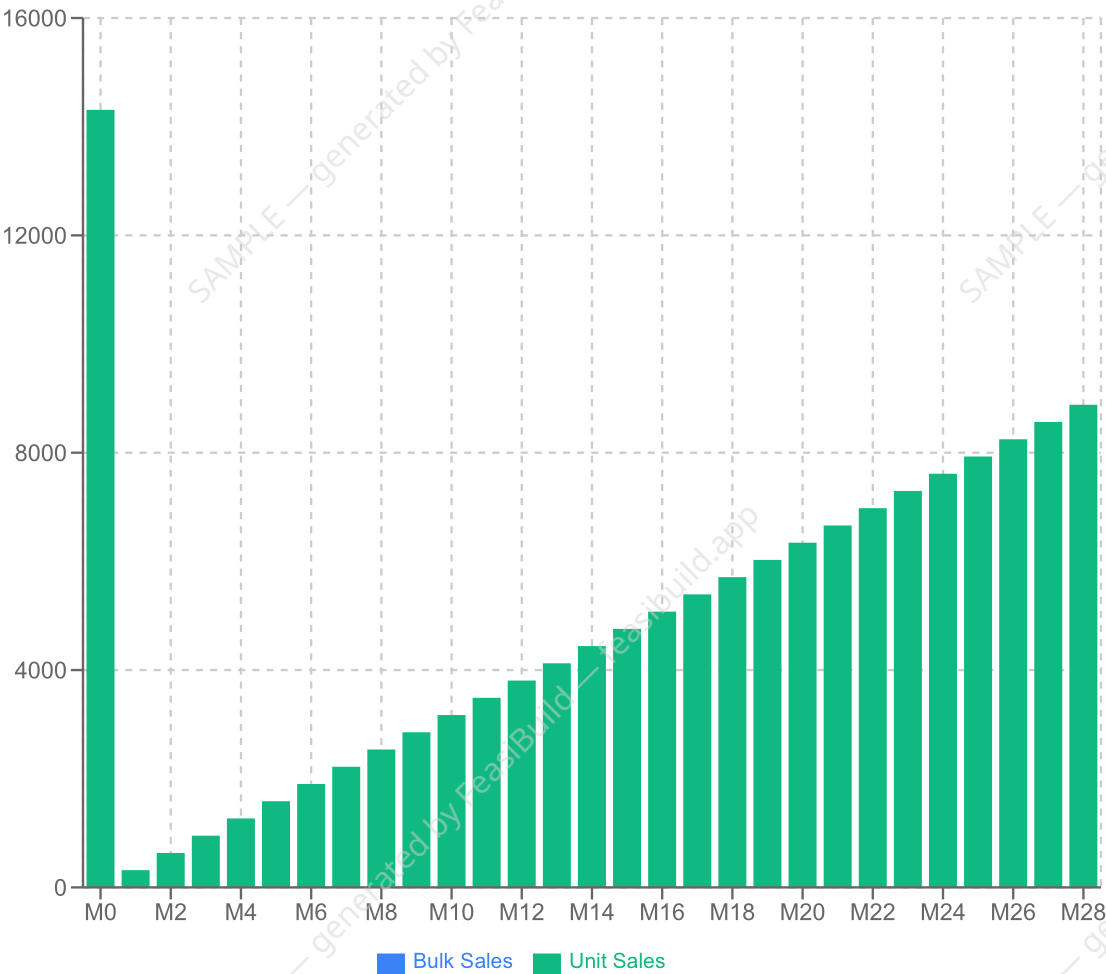
Sales & Revenues Assumption

Average selling price of AED 1300/sqft on 165, 750 sqft saleable area drives gross sales.

Buyer mix and payment plan assumptions shape monthly cash inflow profile.

Gross-to-net deductions include commission, VAT, escrow fees, discounts, and defaults.

Sales Uptake & Mix Schedule (AED'000)



Financial Analysis

Sales & Revenues Assumption

Gross-to-Net

Gross Sales	154,700,000
Total Deductions	11,602,500
Net Proceeds	143,097,500

Broker Commission: 7,735,000
VAT: 0
Escrow Fees: 773,500

Sales Discounts: 0
Defaults: 3,094,000
Bulk Sales Discount: 0

Assumptions

Saleable BUA Ratio	85%
Average Price	1300 AED/sqft
Buyer Mix	40% cash / 60% mortgage
Launch Offset	M6
Default Rate	2%
Cash Plan	20% down / 40% during / 40% handover
Mortgage	20% down @ 80% LTV
Deductions	5% broker + 0% VAT + 0.5% escrow
Default & Bulk	2% default / 0% bulk

Financial Analysis

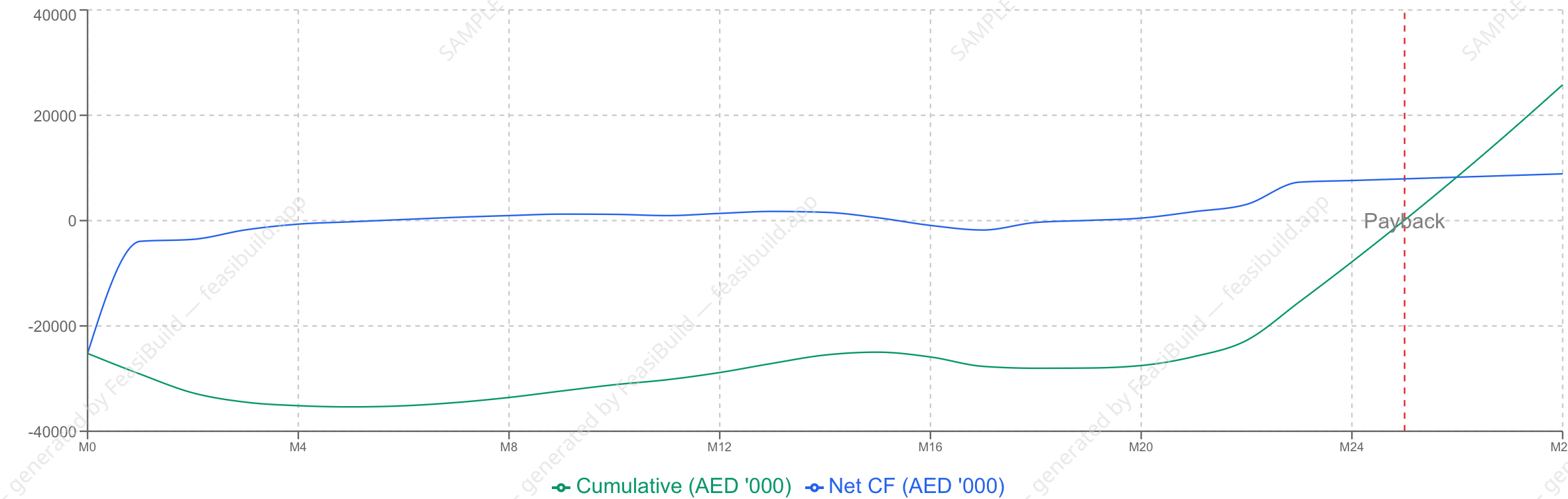
Project Cash Flow Analysis

Unlevered net cash flow turns positive at month 25, supporting 34.31% project IRR.
Cumulative cash flow profile reflects construction outflow trough followed by sales recovery.
Peak negative cumulative position defines equity funding requirement.

Project IRR: 34.31%

Equity Multiple: 1.46x

Payback: M25



Financial Analysis

Revolving Credit Facility

Approved RCF of AED 70.4M bridges construction funding gap.

IDC treatment of capitalized affects capitalized interest at completion.

Loan at completion of AED 0 at 6% supports post-CP debt service.

How it works: The revolving credit facility bridges the construction funding gap between equity injections and escrow-released sales proceeds. IDC is capitalized per financing assumptions, with drawdowns timed to peak negative cumulative cash flow through month 22.

Approved Credit Facility	AED 70.4M
Total Construction Loan Amount	AED 0
Loan Drawdown	S-curve construction drawdown
IDC Treatment	capitalized
Capitalized IDC	AED 0
Interest Rate	6% p.a.
Loan Tenor	23 months (M0 to M22)

Financial Analysis

Escrow Withdrawal Configuration

- UAE escrow rules govern buyer payment collection and developer withdrawal timing.
- Progress-linked withdrawals align developer cash access with construction certification.
- Retention provisions protect buyers until handover and defect liability periods.

UAE — RERA Escrow Configuration

Certification Interval	3 months
Retention Percentage	5%
Release Timing	Practical completion + defect liability
Illustrative Retention	7,735,000
Escrow Setup Fee	AED 5,000
Management Fee	0.0005% p.a.

UAE RERA Escrow Framework — Detailed Explanation

Under the UAE Real Estate Regulatory Agency (RERA) escrow regulations, all buyer payments for off-plan properties must be deposited into a designated escrow account managed by an approved bank or financial institution. This framework is designed to protect buyer interests and ensure that developer funds are used exclusively for the specific project for which they were collected.

The developer may withdraw funds from the escrow account based on construction progress certifications issued by the project engineer or consultant. In this project, certifications occur every 3 months, allowing periodic withdrawals aligned with actual construction milestones. A retention of 5% of the Gross Development Value (GDV) is held in escrow until Practical completion + defect liability, serving as a defect liability reserve to address any post-completion issues.

Financial Analysis

Post-Financing Cash Flows

Post-financing cash flows reflect debt drawdown, IDC, and equity injections through construction.

Sales inflows net of escrow releases fund debt repayment and equity distributions.

Yearly aggregation highlights path to positive levered cumulative NCF.

AED'000	Year 1	Year 2	Year 2.9	Total
Cash Inflows (Escrow + Progress)	25,236	70,488	48,639	144,363
Cash Outflows (Total incl. Land)	65,460	51,846	0	117,306
Net Cash Flow (NCF)	-40,224	18,642	48,639	27,057
RCF (Revolving Credit Facility)				
RCF Drawdown	0	0	0	0
RCF Interest	0	0	0	0
RCF Repayment	0	0	0	0
RCF Commitment Fee	393	323	0	716
Preference Shares				
Pref Shares Drawdown	0	0	0	0
Pref Shares Dividend	0	0	0	0
Pref Shares Repayment	0	0	0	0
Capital Injections				
Capital - Land Injection	35,700	0	0	35,700
Capital - Cash Injection	21,932	0	0	21,932
NCF After Loan & Equity	17,015	18,319	48,639	83,974

Financial Analysis

IRR and Key Financing Metrics

Unlevered project IRR of 34.31% and levered equity IRR of 19.47% frame return expectations.

Equity multiple of 1.46x with payback at month 25 supports institutional underwriting.

TDC of AED 117.3M against GDV of AED 154.7M delivers development margin consistent with high-rise residential tower benchmarks.

UNLEVERED PROJECT IRR 34.31%	LEVERED EQUITY IRR 19.47%	EQUITY MULTIPLE 1.46x
PAYBACK PERIOD M25	MIN. DSCR 0.00x	LOAN AT COMPLETION AED 0

TDC: AED 117.3M · Loan at completion: AED 0

Financial Analysis

Scenario Comparison & IRR Sensitivity

Scenario Shocks

- 1. Sales Price (-10%)
- 2. Sales Velocity (-20%)
- 3. Construction Cost (+15%)
- 4. Construction Duration (+6 months)
- 5. Interest Rate (+200 bps)

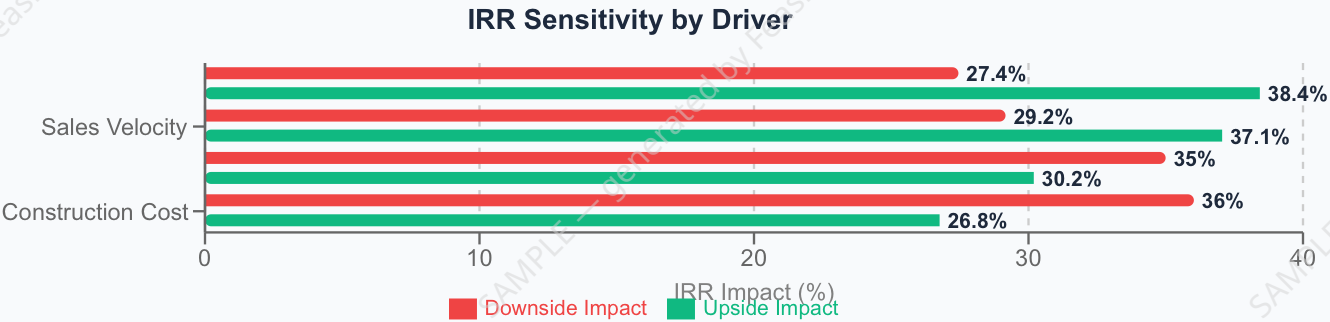


Chart shows the impact of individual variable shocks on Project IRR relative to Base Case.

Scenario Comparison

Metric	Downside Case	Base Case	Upside Case
Unlevered IRR	25.7%	34.3%	39.5%
Levered Equity IRR	13.6%	19.5%	23.4%
Equity Multiple	1.24x	1.46x	1.61x
Payback Period	2.6 yrs	2.1 yrs	1.9 yrs

Base, downside, and upside scenarios stress sales price, velocity, and construction cost assumptions.

IRR sensitivity highlights sales price and construction duration as primary return drivers.

Downside case preserves positive equity returns under moderate stress.

Financial Analysis

Scenario Analysis Results

Scenario Summary

Metric	Downside Case	Base Case	Upside Case
Project IRR	34.3%	34.3%	39.5%
Equity IRR	19.5%	19.5%	23.4%
NPV	AED 31.8M	AED 31.8M	AED 39.3M
Payback Period (yrs)	2.1	2.1	1.9
Equity Multiple	1.46x	1.46x	1.61x

Base Case Assumptions

Sales Price (psf): Avg. selling price AED 1300/sqft
Sales Velocity: Sales velocity / absorption rate
Construction Cost: ±15% hard cost stress
Exit Cap Rate: N/A (sale stream)

Base Case Assumptions

Sales Price (psf): Avg. selling price AED 1300/sqft
Sales Velocity: Sales velocity / absorption rate
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Exit Cap Rate: N/A (sale stream)

Upside Assumptions

Sales Price (psf): Avg. selling price AED 1300/sqft
Sales Velocity: Sales velocity / absorption rate
Construction Cost: ±15% hard cost stress
Exit Cap Rate: N/A (sale stream)

Scenario Analysis Commentary

Generating dynamic scenario analysis...